

MSME / UDYAM REGISTRATION — COMPLIANCE OVERVIEW

This document provides a general overview of MSME (Udyam) registration for small businesses in India. This is general informational content, not professional advice.

1. What is MSME/Udyam Registration

Udyam Registration is the official government registration for Micro, Small, and Medium Enterprises (MSMEs) in India, introduced under the Ministry of MSME. It replaced the earlier Udyog Aadhaar system.

2. Classification Criteria

- Micro Enterprise: Investment up to INR 2.5 crore and annual turnover up to INR 10 crore
- Small Enterprise: Investment up to INR 25 crore and annual turnover up to INR 100 crore
- Medium Enterprise: Investment up to INR 125 crore and annual turnover up to INR 500 crore
- Classification is based on a composite criterion of both investment in plant/machinery/equipment and annual turnover.

3. Documents Required

- Aadhaar Number of the proprietor/partner/director
- PAN Card of the business
- Bank account details
- Business address proof
- Details of business activity (NIC code)
- Investment and turnover details (self-declared, verified through linked IT and GST records)

4. Registration Process

- Visit the Udyam Registration portal (udyamregistration.gov.in).
- Enter Aadhaar number and validate with OTP.
- Fill in PAN details, business details, and investment/turnover information.
- Submit the application; registration is free of cost and typically instant upon successful validation.
- A Udyam Registration Certificate with a unique Udyam Registration Number (URN) is issued.

5. Benefits of Udyam Registration

- Priority sector lending and easier access to collateral-free bank loans under schemes such as CGTMSE.

- Protection against delayed payments from buyers under the MSME Development Act, 2006, including interest on delayed payments.
- Subsidies on patent registration, industrial promotion, and ISO certification.
- Eligibility for various government tenders reserved for MSMEs.
- Lower interest rates on loans and easier access to credit.

6. Points to Note

Udyam registration is self-declared and does not require uploading documents at the time of registration; details are verified through PAN and GST linkage.

Existing enterprises registered under Udyog Aadhaar were required to re-register under the Udyam system.